

OFFERS IN CONTRACT LAW

Professor Richard Frimpong Oppong

What is an offer?

- An offer consists of an indication, by words or conduct, that the person making it – the offeror – is willing to accept a legal obligation to do, or to refrain from doing, something if the person to whom it is addressed – the offeree – agrees to its terms.
- An offer is the manifestation of willingness to enter into a bargain, so made as to justify another person in understanding that his assent to that bargain is invited and will conclude it. Restatement §24
- An offer is a communication by the offeror to the offeree indicating a willingness to enter into an agreement with the offeree on certain terms.

E.g. I am willing to sell you my house for \$1,000,000

How do you determine whether an offer has been made? (General approach)

- In determining whether a statement is an offer, the surrounding circumstances are critical. In other words, the determination of whether a particular communication constitutes an offer (as opposed to an invitation to offers) **depends upon all the surrounding circumstances**.
- Examples of relevant non-exhaustive factors to consider:
 - The language used (no requirement to use words like “offer”, “promise”, “propose”, etc).
 - How definite and precise was the language used?
 - Customs and practices in the business (e.g., may be essential gap fillers).
 - The existence of prior dealings between the parties.

General approach (cont'd)

- The setting or context in which the statement was made.
- Relationship between the parties at the time the statement was made.
- The number of persons to whom the communication is addressed.
- Whether additional steps are required other than acceptance to create the contract.

How do you determine whether an offer has been made? (Certain stereotyped situations)

- There are certain stereotyped situations in which the determination of the existence of an offer is, at least *prima facie*, governed by a general rule. These situations include:
 - advertisement
 - shop window displays
 - letters of intent
 - invitation of bids+
 - price list circulars
- As a general rule, newspaper and online advertisements, unaddressed advertising mail, and price quotes in stores are presumed not to be offers; instead, they are invitations to treat (invitations for offers or invitations to negotiate).
- Why this general rule? What rationale justifies it? What criticisms can be levelled against it?

+++ explain general rule, default rule, and mandatory rule

Offer versus an Invitation to Treat

- An invitation to treat is a preliminary step in negotiations – an invitation to another person to make an offer.
- Importance of distinction (acceptance and risk of indeterminate liability).
- Intention of the maker and surrounding circumstances as bases of distinction (words used not conclusive). No absolute rules.
- Contractual/legal significance of invitation to treat.

Lefkowitz v. Great Minneapolis Surplus Store 157-159

- What were the facts of this case?
- What issue was the court invited to address, and how did the court resolve that issue?
- How do you assess the court's decision that the advertisement for the Lapin stole constituted an offer (which Lefkowitz accepted)? Was that advertisement "clear, definite, and explicit and left nothing open for negotiation"? How did it compare to the earlier advert for the coat?
- Before his second visit Mr. Lefkowitz knew of the "House Rule". Why was that knowledge not effective to 'modify' the second offer when he purported to accept it. On what basis could the court decide that the "house rule" was also not part of the second contract?

Form, Audience, and Effectiveness

- No requirements as to form:
 - Words/writing
 - It can be in electronic form ([Electronic Commerce Act, 2000, S.O. 2000, c. 17, s. 19\(1\)](#))
 - Conduct
 - Silence or inactivity(?) [On the objective test, inactivity may amount to an offer when combined with other circumstances]
- Audience (individual, specified group, or ‘the whole world’)
- An offer is effective when the **offeree receives** it. See Electronic Commerce Act, 2000, S.O. 2000, c. 17, s. 22(3)

Electronic Commerce Act, 2000, S.O. 2000, c. 17, s. 19(1)

Formation and operation of electronic contracts

19 (1) An offer, the acceptance of an offer or any other matter that is material to the formation or operation of a contract may be expressed,

(a) by means of electronic information or an electronic document; or

(b) by an act that is intended to result in electronic communication, such as,

(i) touching or clicking on an appropriate icon or other place on a computer screen, or

(ii) speaking. 2000, c. 17, s. 19 (1).

Denton v. Great Northern Railway Company 150-153

- What were the facts of this case?
- What issues were the court invited to decide? How did the court resolve those issues?
- Which of the two grounds assessed for liability in the decision do you prefer?
- Did the defendant's advertisement of the railway times constitute an offer? Would a reasonable person conclude it was an offer?
- Assume fifty people showed up at the station, but the defendant had the capacity to carry only 40 on the train. Could the rest have successfully sued for breach of contract?

Johnston Brothers v. Rogers Brothers 153-155

- What were the facts of this case?
- What issue was the court invited to decide? How did the court resolve the issue?
- What is your assessment of Falconbridge J's decision that the defendant's letter ("*We quote you, F.O.B. your station, Hungarian \$5.40, and strong Bakers \$5.00, car lots only, and subject to sight draft with bill of lading. We would suggest your using the wire to order, as prices are so rapidly advancing that they might be beyond reach before a letter would reach us.*") was not an offer? What additional facts are required to make it an offer? Would a prior inquiry from the plaintiff have changed the outcome of this case?
- What problems do you foresee if this quote of flour prices was an offer? Could you think of any way to overcome the problem?

Harvey v. Facey 156

Appellants, who were solicitors, telegraphed, “Will you sell us Bumper Hall Pen? Telegraph lowest cash price”. Respondent, LM Facey, who owned BHP telegraphed in reply, “Lowest price for B. H. P. £900”. Appellants telegraphed, “We agree to buy B. H. P. for £900 asked by you. Please send us your title-deed in order that we may get early possession”. They received no reply.

What was the issue in this case?

How do you assess the court’s decision that there was no contract?

“The mere statement of the lowest price at which the vendor would sell contains no implied contract to sell at that price to the persons making the inquiry.” Why should such a statement not be treated as an offer?

Pharmaceutical Society of Great Britain v. Boots Cash Chemists (Southern) Ltd. 159-160

- Where goods are displayed in a shop and it is intended that customers shall go and choose what they want, the contract is not completed until the customer has indicated the article which he needs and the shopkeeper or someone on his behalf accepts that offer, and it makes no difference that the shop is a "self-service" shop. How significant is this decision?
- Somervell LJ pointed to the time of completion of the transaction in this judgment. What is the legal significance of the 'time of completion' in the contract formation process?
- James loves organic cashews but cannot afford them. To satisfy his needs, he developed an ingenious practice. He deployed it in his favourite shop, Bulk Barn: when in the shop, he picks one of the plastic bags provided by the shop and fills it with organic cashews. However, instead of labelling the bag with the organic cashew label (4444) as he is 'expected' to do, he labels it with the non-organic cashew number (3333). He then takes it to the cashier and pays for the price of non-organic cashews. He has been doing this for about a year, but he ran out of luck one Sunday and he was caught! He is being prosecuted for theft. He has pleaded not guilty and argues that he always entered into a valid contract for the goods. Did James form a contract with Bulk Barn? On whose terms?

Exercise 1

A coin dealer began soliciting orders for commemorative Viola Desmond coins before the Royal Canadian Mint officially issued the coins. The dealer advertised the coins on its website, stating: “If we receive your reservation by December 31, 2025, you will enjoy a favourable Pre-Issue Discount, saving you up to 16% on your coins.”

Customers could submit their reservations and pay using a credit card, debit card, or PayPal. Although the dealer regularly processed credit- and debit-card transactions, it had never previously dealt with PayPal, and processing PayPal orders was an unusually difficult and time-consuming process for the dealer.

Directly above the button that customers were required to click “I agree” on the online order form, the following provision appeared: “VERY IMPORTANT – PLEASE READ: YES, Please accept my order for the Viola Desmond Coins. I understand that all sales are final and not subject to refund. Verification of my order will be made by the Dealer. If my order is received by December 31, 2025, I will be entitled to purchase the coins at the Pre-Issue Discount price shown. I have read, understand and agree to the above.”

Many customers submitted reservations before the December 31 deadline. The dealer subsequently experienced demand for the coins that far exceeded its expectations. As a result, the dealer was unable to fill any orders for Viola Desmond coins where the customer had attempted to pay through PayPal. The dealer argued that its website advertisement was merely an invitation for customers to submit orders and did not constitute an offer capable of acceptance.

Several disappointed customers sued the dealer for breach of contract, arguing that the advertisement, together with the wording of the online order form, amounted to a contractual offer that they accepted by submitting their reservations and payment before the deadline.

Discuss whether the dealer’s website advertisement constituted an offer capable of acceptance by the would-be buyers.

Exercise 2

Berry sued the owners of the restaurant where she worked as a waitress for breach of contract. On 1 June 2026, the restaurant manager announced to the staff that the employee who sold at least \$10,000 worth of food and beverages during the month would be entered into a draw and “could win something valuable, such as a Toyota.”

Berry exceeded the \$10,000 sales threshold and, in July 2026, the manager informed her that she had been selected as the winner. The manager then blindfolded Berry and led her to the restaurant’s parking lot. When the blindfold was removed, Berry found a doll of the Star Wars character “Yoda” waiting for her. The manager told Berry that she was the proud winner of a “toy Yoda.”

Berry was disappointed and claimed that the manager’s original statement amounted to an offer to provide a valuable prize, which she had accepted by achieving the required sales target. The restaurant owners argue that the statement was merely promotional or humorous and did not create any contractual obligation.

Discuss whether the manager’s statement constituted an offer capable of acceptance.

Exercise 3

Jack, a York University history student, is an avid collector of unusual religious antiques. He is particularly fascinated by objects that are believed to possess mystical or supernatural qualities, and his favourite television program is Antiques Roadshow.

In August 2026, on his first day in Toronto, Jack visited an antique store located at the corner of Jane and Finch. While browsing the store, he discovered a painting depicting the celebrated Sri Lankan Painted Frog, a creature that is believed by some to possess mystical healing powers.

Jack examined the painting carefully. Based on his knowledge of antiques, he estimated that the painting dated back to the eighteenth century. The painting was marked with a price of \$1,000, although Jack believed that it would be unlikely to sell for more than \$600 on the open market.

After examining the painting, Jack decided that he was not prepared to pay the asking price. As he was about to put the painting down and leave the store, he was confronted by the shop owner, Robert, who was well known for his no-nonsense approach to business. In a very stern voice, Robert said to Jack: “Dude, that was an offer! Thanks for accepting it. See the cashier at the counter.”

Jack was confused and frightened by Robert’s statement. He had never expressly told Robert that he wanted to purchase the painting and had not agreed to pay \$10,000 for it. Nevertheless, Jack became concerned that Robert believed a contract had been formed. Jack immediately ran out of the store. In doing so, however, he accidentally left his student card behind.

Robert subsequently used the information on the student card to trace Jack to York University. Robert is now threatening to sue Jack for the \$10,000 contract price if Jack does not return to the store and take possession of the painting before the end of the month.

Advise Jack. In particular, discuss whether Robert’s conduct and statements resulted in a valid offer

Termination of Offers

An offer can be accepted only while it is open for acceptance. An offer can be terminated at any time before acceptance. This is so even if the promisor has promised to keep the offer open until a defined date – “promises to keep an offer open” – such promises are not binding in law. An offer which has already been accepted cannot be revoked

- Rejection by offeree:
 - Outright rejection
 - Counteroffer by the offeree

- Revocation by offeror:
 - + Communication
 - + where the offeror promises to keep the offer open up to a specific date
 - + Unilateral offers

Termination of Offers (cont'd)

- Lapse of time
 - + where offer fixes the date for acceptance
 - + where the offer does not fix a date for acceptance
- Failure of the condition(s) attached to the offer
- Death
 - + of the offeror
 - + of the offeree